

the losing positions (relative to their cost basis). Mutual fund holders who tax loss harvest work with this net average.

Investors who wish to TLH have to treat the mutual fund for what it is—a single security. They don’t get to look inside the portfolio and say, “Sell the bottom 10% of my holdings!” to book the losses. They only get to treat the fund as a, well, fund. That vehicle only lets investors access *that average net gain or loss*. Most of the internal losses are inaccessible to the holder. This works against those losers when it comes to tax loss harvesting.

DI grants access to *ALL OF THE LOSERS* without requiring the owner to do anything other than hold on to the winners. This is a massive advantage to anyone selling a concentrated position because it allows for the offset of more of the capital gains tax obligation that sales create.

Sometimes, *a lot more*.

The team at OSAM reviewed clients using Canvas.⁴²³ They saw accounts with tax harvesting in excess of 4.75%. That is a ridiculously good result, an outlier driven by the unique speed and depth of the 2020 crash/recovery (which itself was an *outlier event*). If you direct index, do not expect to capture 475 basis points of losses under most circumstances.

Given how unusual Q1 2020 was, my guess is offsets of that sort come along quite rarely—maybe once every decade or so? But it does show the proof of concept as to what DI can accomplish when all of the stars line up. I expect DI to show ongoing gains versus traditional TLH of ETFs and mutual funds.⁴²⁴

I am a big believer in the effectiveness of DI. The *tax losses are real*, not a theoretical benefit. They are hard dollars, quantifiable, and specific. Investors see actual dollar savings annually on their personal tax returns. They may not notice a fund that is 50 bps ahead or behind its benchmark, but they certainly see tax savings of hundreds of thousands of dollars.

Another approach can help investors with their appreciated concentrated